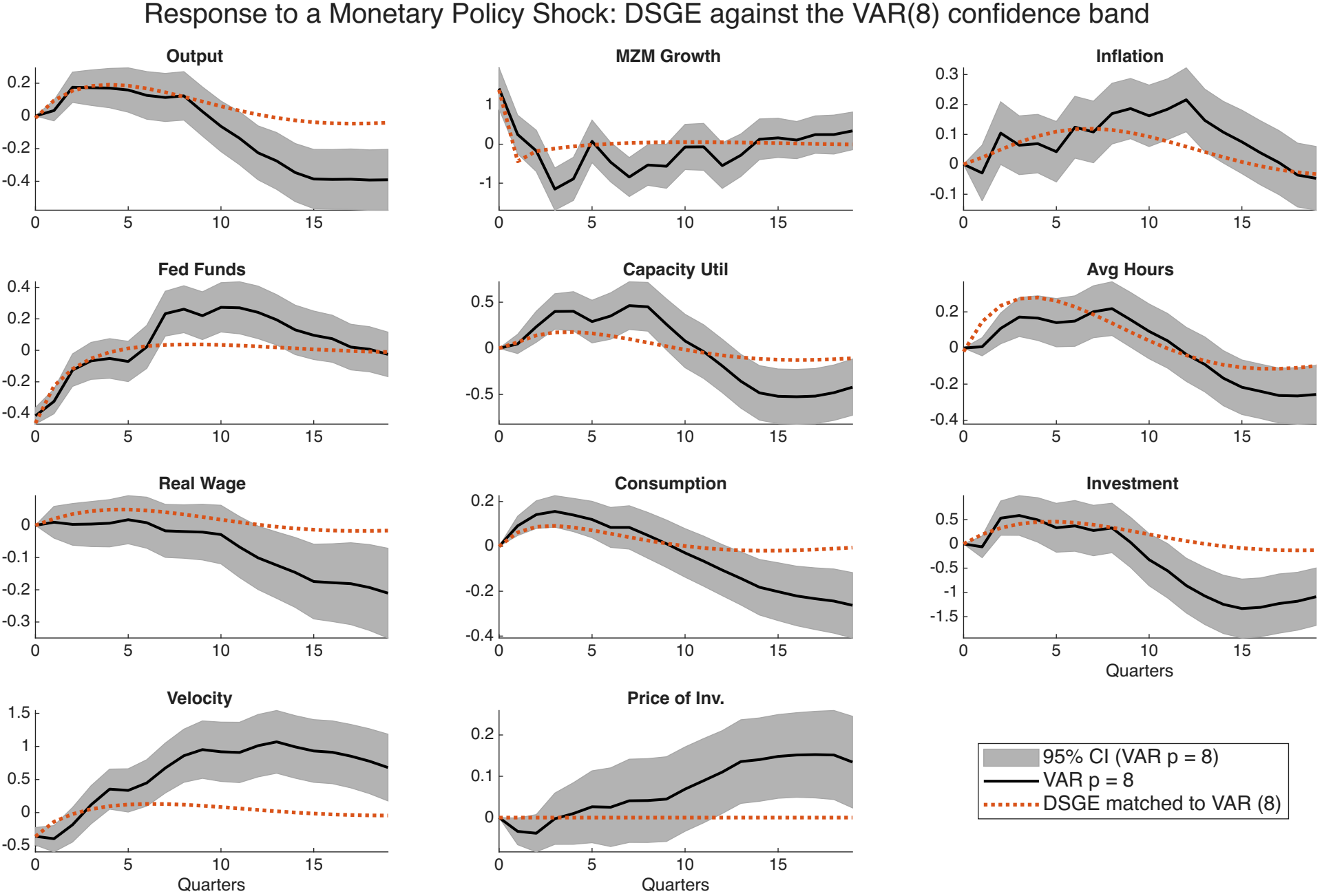
Response to a Monetary Policy Shock: DSGE against the VAR(8) confidence band
Output
MZM Growth
Inflation
Fed Funds
Capacity Util
Avg Hours
Real Wage
Consumption
Investment
Velocity
Price of Inv.
Quarters
95% CI (VAR p = 8)
VAR p = 8
DSGE matched to VAR (8)